

exit signal for those who bought at D and hoped to see price climb.

The plunge to E was a straight-line affair that had an even faster recovery (back up to the price of D). The support at D, now resistance, repelled the stock and forced it back down. It took two more tries to break through the ceiling set up by that knot of resistance.

Those who bought at D in anticipation of a rise were disappointed. Perhaps you heard their screams when they sold for a loss. If they'd held on, they would have been rewarded when the stock began its recovery in May.

Unfortunately, being rewarded for breaking the rules is one of the struggles newbie traders have to overcome. If they broke their own rules and held on as price dropped, only to be rewarded during the recovery, they might be tempted to hold on too long the next time. And that's how a bad habit forms, one that will drain their wallet or purse as sure as the sun rises the next day, when the stock drops and stays down.

The utility stock climbed to 48 in 2007 before the bear market came along and delivered a knockout punch to stockholders.

Returning to the turn at D, fortunately this type of behavior for many Fibonacci-based patterns is rare. Price *does* turn upward at D, nearly all of the time. For the bullish butterfly, that means at least 88% of the time. Accompanied by a low failure rate, capturing the upward move from a bullish butterfly might be a good tool for swing traders to have in their toolbox.

Let's crunch the numbers and see what they reveal about the behavior of bullish butterflies.

Statistics

[Table 17.2](#) shows general statistics for the bullish butterfly.

Number found. I found few patterns, a total of 882 (in both bull and bear markets). I dug them up in 601 stocks from July 1991 to June 2019. Not all stocks covered the entire period, and some no longer trade.

Breakeven failure rate. The failure rates for the bullish butterflies are low, especially in bear markets. Why the failure rate is so low is a mystery. The